

There is no hiding from the fact that first home buyers find it difficult to save a 20 per cent deposit for a home, especially when the median price has surpassed \$1 million in Sydney and \$800,000 in Melbourne, and although it is less in other states you may still be doing it tough. These scenarios not only require a deposit of six figures, but also the ability to service the loan – to meet your obligations and comfortably pay the loan back.

There are pros and cons to stumping up a ten or 20 per cent deposit, and neither is better than the other. It comes down to what you're willing to endure; more years of saving, or pesky lenders' mortgage insurance (LMI; see the definition at the start of Step 3).

In the case of first home buyers, time really is money. Senior financial planner Paul Nicol says the amount you can afford to offer your bank depends on how quickly you can save. Nicol says the choice depends on your savings capacity – 'how much longer it will take you to get from ten per cent to 20 per cent'. If that leap – from ten to 20 per cent – is a year to 18 months, then press on, he advises, so you don't end up priced out of the market. So, if you have a ten per cent deposit but look like you can reach 20 per cent in under a year and a half, put your ambition on ice, like one of the good sauvignon blancs you've probably given up to get this far. That way you won't have to pay LMI.

If you're tossing up between offering a ten or a 20 per cent deposit, consider also that the lender will consider the latter a lower-risk proposition. For a lender, your deposit represents a gamble of sorts, and if you have a higher deposit they may reward you with a tweaked interest rate and lesser fees.

That said, if you can't get to a ten per cent deposit – let alone 20 per cent – you can certainly still get a loan. According to [finder.com.au](https://www.finder.com.au), more than half of lenders – 55 per cent – will lend up to 95 per cent of the property value. Once upon a time, you could get a loan with even less, but those days are over and 95 is now typically the highest you can go to.

The lowdown on lenders' mortgage insurance (LMI)

As house prices rise, the temptation to dive in and buy with only a ten per cent deposit is as strong as the Bachelor's jawline, and just as seductive. But, as I've mentioned, if your deposit is less than 20 per cent, mortgage providers will sock you with LMI, a fee that protects the lender if you hit